

Report for “Self-Targeting in U.S. Transfer Programs”

Summary

This paper asks a straightforward question: how are the people who receive benefits from U.S. transfer programs different from those who are eligible but do not receive benefits? Particularly, it examines eight major transfer programs using the Panel Study of Income Dynamics (PSID) to estimate eligibility, and then – conditional on eligibility – estimates how recipients differ from non-recipients in their consumption and (imputed) lifetime income.

The paper makes two contributions.

1. The first is the headline empirical finding is that those who get benefits are poorer – in the sense of lower consumption and lifetime income – than those who don't. This is true across each of the transfer programs they study, but the result is particularly strong for SNAP and housing assistance. This suggests that the voluntary nature of transfer take-up is progressive.
2. The second is a welfare analysis of targeting in a “voluntary-to-automatic” reform thought experiment. This asks: would the government like to convert the current benefits, which require voluntary take-up, to an automatic one which goes to all eligible beneficiaries? The authors derive a simple model to value the resulting redistribution. The theoretical result serves as a motivation for the empirical statistic they estimate in the earlier part of the paper.

Overall impression:

This is a very nice paper which asks a question that is creative in its simplicity. It is very clearly written and motivated – and an overall pleasure to read. The empirical work has been very thoroughly and carefully done and is a real strength of the paper. I have only one minor comments on the empirics (below), and the overall findings about targeting on consumption and lifetime income are convincing. These results are novel and framing the analysis as a “correlation test” for targeting makes the case for novelty clear.

My comments for how to improve the paper will focus primarily on the theoretical model and welfare analysis/framework. In my opinion, the paper would be greatly improved to the extent it can engage with the in-kind and insurance nature of transfer programs. The welfare framework presented in Section 4 treats a transfer program essentially as a part of the tax schedule – (1) individuals value the benefits they receive at the government's cost to provide them, and (2) this value *does not differ across individuals*. The authors include a parameter, λ , which can address the first concern, but not the second. Because the transfers are in-kind and may have insurance value, it is plausible that the value individuals place on the “voluntary-to-automatic” reform would vary, and potentially covary with take-up in a way that is first-order to welfare. I also think focusing on this aspect of the transfer programs in question can help the authors clarify when (and why) voluntary take-up may make sense in transfer programs but at the same time

not, for example, for the income tax schedule itself (which is an *automatic* income-based transfer).

Specific comments:

1. The classic self-targeting idea (e.g., Nichols and Zeckhauser, 1982) for ordeals in in-kind transfer programs comes from individuals having different private valuations of the benefit. This is different from the model in the paper, where the mechanism for selective take-up comes from the individual-specific ordeal cost (κ), while individuals value the benefit identically. I understand why the authors went with the model they did, as opposed to (for example) one where the private benefit varies, and the ordeal cost was constant. Their approach provides a “welfare” interpretation that does not rely on knowing the willingness-to-pay of individuals for in-kind benefits – since WTP is instead assumed to be equal to (or, in general, proportional to) cost, as in the case of a cash transfer. However, I’m not comfortable interpreting this as welfare – I believe the exercise is valuable, but as it is I would much more prefer a framing that presents the positive result about targeting in terms of the “progressivity/regressivity” of the voluntary-to-automatic reform. The approach in the paper also leads to an awkward interpretation of the ordeals cost implied by the envelope theorem: the ordeals cost is given by the benefit amount of marginal individuals, but being on the margin is entirely determined by the individual’s ordeal cost. As a result, it appears the implied ordeal cost is determined entirely by assumptions on the joint distribution of κ and the benefit amount. For example, if the ordeals cost and benefit amount are independently distributed, then it seems like the ordeals cost should always be equal to the average benefit amount. If this is not the case, I think the authors should add some more detailed discussion to clarify where their estimates of the ordeals cost are coming from.
2. “Insurance” value of going to automatic transfers. The theoretical framework considers the redistributive value of “going automatic” in terms of the incidence of transfers. But doing so may also change the insurance/liquidity value of the program because it changes how individuals can smooth consumption over time and states of the world. The value of this insurance likely covaries with individual type, e.g., lifetime income. For instance, if lifetime-poor individuals face little variance in consumption/eligibility, then they receive a large *transfer* from the program but little insurance value. If higher lifetime income types face greater variance in their consumption/eligibility, then they may receive a smaller lifetime transfer on average but have a greater benefit from the insurance value of being automatically covered if their income were to fall. Whether there is better social “bang for the buck” in making the program voluntary or automatic thus depends on how both the insurance value, transfer value, and social welfare weight co-vary with take-up. The authors could examine this insurance/liquidity value empirically using the PSID, since they observe consumption over time for individuals. Even a simple bounding exercise that shows little insurance value or little heterogeneity in the insurance value might be very useful.

3. Heterogeneity in the benefit amount. Mechanically, lifetime-poorer individuals should be eligible for longer periods of time than lifetime-richer individuals. So even if transfers were fully automatic, poorer types would receive larger transfers over their lifetime than richer ones. If all individuals value benefits identically to cash, this doesn't affect the targeting of the voluntary-to-automatic reform *per dollar* of government spending. But if individuals value the same in-kind benefit differently, then any welfare result depends on how well the reform targets government spending towards individuals who have a higher (social preference weighted) WTP per dollar of government spending, which may be correlated differently with take-up than overall WTP. The authors might consider implementing some estimates of "lifetime eligibility" in the empirics, particularly if allowing for heterogeneous WTP for benefits (e.g., because of insurance value).

Minor comment:

4. My understanding is that university students are generally ineligible for certain benefits (e.g., SNAP). However, it seems like these individuals would be classified as eligible under the authors' simulations. If that is the case, I would like to see some exercise to examine robustness of the targeting results to student non-eligibility.